

Tata Consumer Products Ltd (TATACONSUM)

ROE	8.32%
ROCE	10.6%
CFO Quality	High Quality
Capital Allocation	Mixed

Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Net profit compounding at above 20% over 5 years creates significant shareholder value.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.
- Return on equity below 10% suggests the business is generating weak shareholder returns.